Q1 2025

Custom Managed Portfolios

Lazard Global Equity

Quick facts

Asset class:
International Large cap

Management style:
Relative Value [1]

Number of holdings:
65

Sub-advisor:
Lazard Asset Management

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
January 01, 2003

aviso wealth

What does the strategy invest in?

The Lazard Global Equity mandate is an actively-managed, unconstrained strategy designed to leverage Lazard's best ideas worldwide. It is focused on high-quality, financially productive companies supplemented by stocks in which we anticipate positive changes in returns. The Portfolio invests in listed equity securities of companies located in both developed and emerging markets.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-2.9%	-2.9%	6.7%	9.1%	12.2%	9.6%	8.0%
Benchmark[5]	-1.3%	-1.3%	14.0%	12.1%	15.5%	10.1%	8.0%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	19.3%	14.1%	-11.9%	17.8%	15.4%	20.0%	1.2%
Benchmark[5]	28.2%	19.1%	-12.4%	17.5%	12.3%	20.2%	-1.3%

Standard deviation	7.4%	Sortino ratio	1.39	Downside capture	86.1%
Sharpe ratio	0.86	Beta (Equity)	0.97	Upside capture	91.2%

Largest holdings

1. APPLE INC 4.4%
2. MICROSOFT CORP 3.4%
3. AMAZON.COM INC 3.2%
4. VISA INC 2.7%
5. ACCENTURE PLC CL A NEW 2.6%
6. TAIWAN SEMICON MFG CO S/ADR 2.5%
7. AON PLC CLASS A 2.4%
8. COCA COLA COMPANY THE 2.4%
9. RELX PLC SPONSORED ADR 2.3%
10. CHARLES SCHWAB CORP NEW 2.3%

Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.5%	27.91	20.24	5.57	4.99	482.50B	55.2%

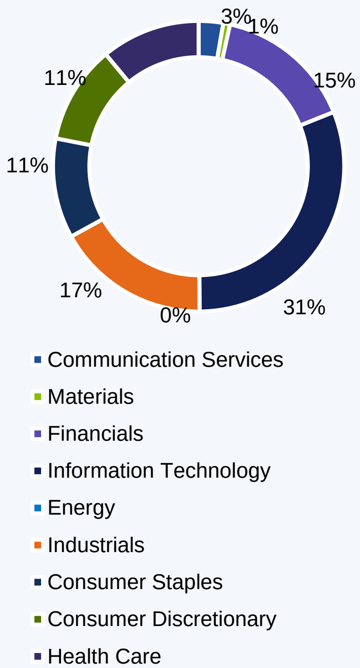
Target allocations

Asset class	Min	Max
Global equities	50%	100%
Cash & cash equivalents	0%	10%

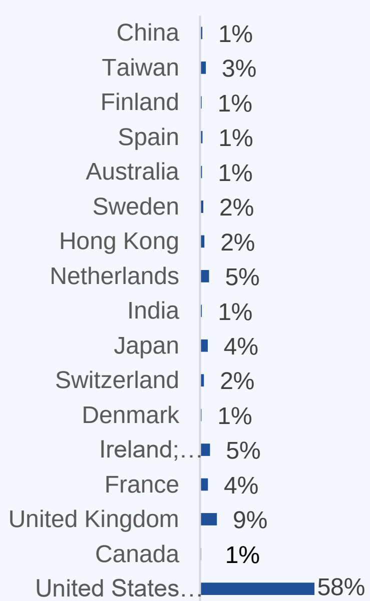
■ Target □ Current

Q1 2025

Sector breakdown



Geographic allocation



Quarterly commentary

Market Overview
Equity markets worldwide receded in the first quarter, as the outlooks for corporate spending and global economic growth were complicated by the Trump administration's tariff plans.

The quarter proved to be a turbulent one for global stock markets. All eyes were on the US, with initial investor enthusiasm for the Trump administration's anticipated business-friendly policies tempered by numerous statements and administration actions that had investors debating their ramifications. With surveys indicating lower business and household confidence leading up to tariff deadline on 2 April, investors were wary that the uncertainty might lead to a pull-back in corporate and consumer spending, lowering economic growth. The market was also affected by the news that Chinese startup DeepSeek had developed a lower-cost artificial intelligence (AI) model that performed comparably to those created by its US Big Tech rivals, bringing AI-exposed companies broadly under pressure.

Concerns about a global trade war and its potential impact on the world economy was a significant risk factor considered by major central banks in their monetary policy decisions. With price pressures persisting, the US Federal Reserve held interest rates steady during the quarter in anticipation of higher inflation and slower growth. The European Central Bank (ECB) reduced interest rates by 25 basis points at its policy meetings in January and March and noted that the "disinflation process remained on track" in the eurozone. Likewise, the central banks in England, Sweden, and Switzerland each reduced interest rates by 25 bps during the quarter. Meanwhile, in Asia, the Bank of Japan (BOJ) held interest rates steady, citing concerns about the potential impact global trade tensions would have on Japan's export-reliant economy.

Against this backdrop, equity markets in the developed world fell in the quarter while those in the developing world rose. In the US, stocks declined, as concerns about tariff risks and a sell-off of companies leveraged to AI weighed on the market. European stocks outperformed, driven by a combination of rate cuts and the enthusiasm for defense contractor stocks. In emerging markets, stocks in China advanced, as investors bid up shares of Chinese internet companies after the AI breakthrough of a Chinese start-up. Conversely, stocks in Taiwan fell on concerns over technology industry trade.

Portfolio Review
Intercontinental Exchange, a global operator of regulated exchanges, a financial data vendor, and a mortgage technology software provider, rose after the company reported solid earnings highlighted by strong performance in its futures and mortgage technology businesses. We continue to own Intercontinental Exchange as we believe its strong financial productivity is sustainable, and that strength in its data business and opportunities in its mortgage business should continue to improve the company's growth rate and valuation.

Coca-Cola contributed to returns. The company reported better-than-expected earnings, with all operating regions reporting sales and volume growth, especially in the US. Over the past five years, the company's US portfolio has evolved significantly, with approximately 10% of sales now coming from the rapidly growing protein drink franchise (Fairlife/CorePower), while the core Coca-Cola trademark also saw volume growth. We continue to see Coca-Cola as a structurally higher-growth and ROIC company. Cost reduction efforts and strong pricing power support higher margins and returns while still allowing for increased investments across its large, diversified brand portfolio to drive distribution growth and greater household penetration.

Danish brewer Carlsberg (Improver) also contributed to performance after it reported strong earnings hitting the high end of its EBIT guidance range, despite challenging macroeconomic conditions in China and weather headwinds in Western Europe. Market share performance was solid across the board, especially in China. Further, management provided higher-than-expected guidance for FY 2025 earnings growth. We believe Carlsberg's management has created the right long-term strategy that fits the asset base, focusing on volume, profit, free cash flow and ROIC. Our thesis of price/mix improvement in Western Europe and strong growth in its Asia business remains on track. In addition, we believe the acquisition of soft drinks company Britvic, which was completed in January 2025, improves the long-term growth/risk/return characteristics and creates a multicategory company.

Detractors

Improver Marvell, a chip designer with a leading application-specific integrated circuit (ASIC) product portfolio, detracted from performance. Shares lagged along with semiconductor peers in the first half of the quarter amid uncertainty around the spending environment for artificial intelligence (AI) chips following the release of China-based DeepSeek's latest AI model. Shares additionally fell after the company reported quarterly results, as management's guidance for AI revenue indicated that the company was at the tail end of ramping the current generation of its ASIC program for key customer Amazon, disappointing investors.
However, we believe Marvell management did a good job of addressing AI chip competition, stating that the company is "deeply engaged" with Amazon on the next generation ASIC and expect revenue from the Amazon business to continue growing in 2026 and beyond. The management also indicated that it was incrementally more confident in its 2028 ASIC revenue target of ~$15B relative to when it first laid it out in 2024, suggesting that this quarter was not a signal of a broader slowdown. While we expected management's commentary to reassure investors, we believe already-poor sentiment in names exposed to AI capex led to an investor overreaction. We met with Marvell's chief executive officer in mid-March, and he reiterated that the company is solidly on track to achieve its 2028 targets. We continue to believe that through its product portfolio, IP, and customer relationships, Marvell is poised to successfully take share of what we see as a rapidly growing datacenter AI spending environment.

Outlook

We are analyzing a range of scenarios for each company related to the tariff news. We cannot predict the long-term implications of these developments, as they will depend on (a) how long the tariffs are in place, (b) whether new trade policy announcements will come, and (c) the outcomes of bilateral trade negotiations. We are focused on taking advantage of the turmoil to position the strategy for long-term capital appreciation in the years to come.
Although the recent environment has been difficult, we continue to adhere to our investment philosophy and process, and believe the empirical work done by co-lead portfolio manager Louis Florentin-Lee in Relative Value Investing and its update, Quality Investing, shows that our philosophy is one that should deliver outperformance over time. Closely aligned with our Relative Value philosophy, the strategy is designed to reduce downside capture, outperform in moderate up markets, and participate in strong markets.

Investment manager overview

Since 1848, Lazard has remained a trusted advisor to governments, financial institutions, public and private retirement plans, and individuals around the world.

Lazard Asset Management is the principal asset management subsidiary of Lazard Ltd., and today represents approximately half of the firm's revenue. With more than 300 investment personnel in 18 cities across 13 countries, Lazard Asset Management offers investors an array of traditional and alternative investment solutions. We believe our global reach, unique identity, diverse product platform, and strong client relationships will allow us to maintain our preeminent position in the marketplace.

Investment philosophy

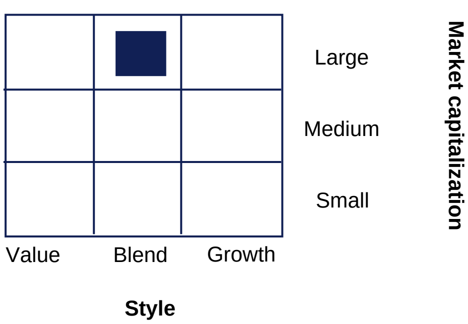
Lazard's investment philosophy is based on value creation through the process of bottom-up stock selection. Our relative value philosophy is implemented by assessing the relationship between valuation and financial productivity for an individual security. We believe that financial productivity (the return a company generates) measures how effectively a company is putting its shareholders' capital to work – and ultimately this drives valuation. Assessing a company's financial productivity is an important part of our research process, as it is critical to assessing a company's value.

We believe that the best companies often sustain higher levels of financial productivity for longer than the market expects, leading to valuation opportunities and market inefficiencies. We also believe that opportunities exist among companies to improve returns, but less often than investors.

Investment process and risk controls

The strategy invests in equity securities, principally common stocks, of companies that the Investment Manager believes have strong and/or improving financial productivity and are undervalued based on their earnings, cash flow or asset values. In managing the strategy, the Investment Manager utilizes a flexible investment approach and engages in bottom-up, fundamental security analysis and selection. The mandate may invest in securities across the capitalization spectrum. The Investment Manager will allocate the Portfolio's assets among various regions and countries, including the United States (but in no less than three different countries). The Portfolio's investments in non-US companies may include companies whose principal business activities are located in emerging market countries.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] Relative Value – Investing style that focuses on relative company to competitor value, in addition to absolute and intrinsic value

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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[5] The benchmark is MSCI All Country World NR Index

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